

that there is only one stock market, not two, and that the market will soon shed a tier."

To an outside observer it probably looked as if professional investors—particularly those in bank trust departments, who managed almost all of the pension money at that time—were manipulating the market, and were in collusion to kite a group of stocks, as in the infamous pools of the 1920s. But it wasn't a conspiracy. It was just the homogeneity of the bank trust departments. Groupthink was pervasive.

It's the same today. Most professional money men huddle in the center of the herd. I guess it's to be expected. After all, those responsible for most institutional portfolios have gone to the same colleges and taken the same MBA courses. Once they become money managers at banks, mutual funds, insurance companies, and investment counseling firms, they read the same publications, get fed the same information and opinions on their PCs, talk to the same analysts and institutional salesmen, and attend the same investment conferences, put on by the major brokerage houses. They lunch together, compare notes, and reinforce one another's convictions. They wear the same suspenders or Ferragamo pumps, and switch from Perrier to red wine within the same month. No wonder they end up with nearly identical portfolios, and that the results of those portfolios cluster around the average.

The Nifty Fifty did get their comeuppance, of course. A tier was indeed shed. We had the worst bear market since the 1930s. What I failed to anticipate, though, was that reasonably priced stocks would also drop, as mine did. I learned a lesson that's been repeated many times over the years: when a large segment of the market gets overpriced and eventually corrects, everybody gets nailed. The guilty, the less guilty, and those who are just standing around watching all get into trouble. No matter that you've scorned the high-flyer, crazy-multiple stocks; your sensible portfolio, too, will go down. Your only consolation is that you probably won't be as